Expert Report of Gregory Fenwick-Symes FCA (Extract)

Expert Report | Document ID: **CLM-EXP-001**

Date:	30 January 2026 (first round exchange of expert evidence)
Expert:	Gregory Fenwick-Symes FCA, Aldgate Forensic Partners
Instructed by:	Claimant (Meridian Chemical Holdings Ltd)

1. Instructions and Scope

1.1 I am instructed by Hartley Voss LLP on behalf of the Claimant to provide an independent expert opinion on (a) the quantum of loss said to arise from the alleged breach of Warranty 7.3 in respect of Northbridge Coatings Ltd, and (b) the correct calculation of Actual EBITDA for the Earn-Out Period under Clause 6.4 of the SPA.

1.2 I have read the Tribunal's Practice Note on Party-Appointed Experts and confirm that I understand my primary duty is to the Tribunal, and that this report represents my own independent, objective and unbiased opinion.

2. Quantum of the Warranty Claim

2.1 I have adopted a diminution-in-value methodology, being the difference between (a) the value the Buyer attributed to the Target on the assumption reflected in the agreed purchase price (which capitalised the Target's maintainable EBITDA at an implied multiple of approximately 6.1x, derived from the agreed enterprise value of approximately £18.5m against maintainable EBITDA of approximately £3.03m), and (b) the value the Target would have had, on the same multiple, had the loss of the Northbridge contract been reflected in maintainable EBITDA at signing.

2.2 Based on the Target's management accounts, Northbridge contributed approximately £390,000 per annum to the Target's EBITDA. Applying a multiple of 5.5x (a modest discount to the headline transaction multiple, to reflect the loss of a single account rather than the business as a whole), I calculate the diminution in value, and therefore the Claimant's loss, at approximately £2,140,000. I set out my detailed workings at Appendix 2 to my full report (not reproduced in this extract).

3. The Earn-Out EBITDA Calculation

3.1 I have reviewed the group overhead allocation of approximately £540,000 applied to the Target's post-Completion management accounts. In my opinion, this allocation is consistent with, and comparable to, the allocation methodology applied by the Claimant to each of its other three acquired subsidiaries following their respective acquisitions, and reflects the genuine incremental cost to the group of providing central functions to the Target. On this basis, I consider the Claimant's calculation of Actual EBITDA (approximately £2,180,000) to be an appropriate application of Clause 6.4.

3.2 I have not been asked to, and do not, express a concluded view on the correct legal construction of Clause 6.4(b); my opinion is limited to the accounting treatment applied.

Statement of Truth: I confirm that I understand my duty to the Tribunal and have complied with it. I confirm that the opinions expressed in this report are my true and complete professional opinions.

Signed: *G. Fenwick-Symes FCA* Dated: 30 January 2026